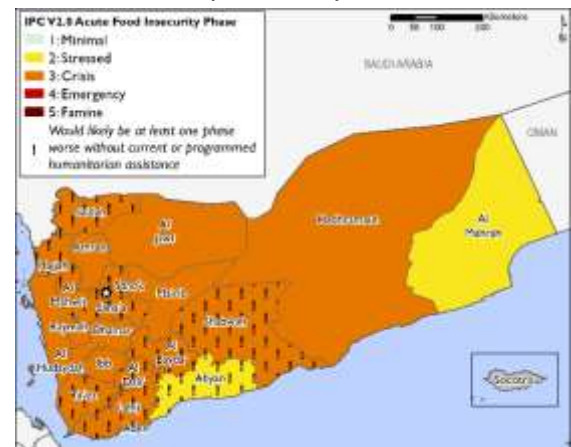


Red Sea ports remain open as military offensive in Al Hudaydah continues

KEY MESSAGES

- The recent offensive in Al Hudaydah City raises significant concern about the potential for significant damage or disruption to imports through the Red Sea ports. As of July 11, the Red Sea ports remain open commercial and humanitarian imports continue according to UNVIM reports, while trade routes between the ports and key markets remain open. Since the military offensive in Al Hudaydah City began, prices have only slightly increased for wheat flour and fuel.
- Large populations in Yemen continue to face Crisis (IPC Phase 3) or Emergency (IPC Phase 4) acute food insecurity. As worst-affected households begin to exhaust their coping capacity, populations may begin to move into Catastrophe (IPC Phase 5) even in the absence of additional disruptions. In a worst-case scenario, significant declines in commercial imports below requirement levels and conflict that cuts populations off from trade and humanitarian assistance for an extended period could drive food security outcomes in line with Famine (IPC Phase 5).
- Between June and October, large parts of Yemen are expected to remain in Crisis (IPC Phase 3), while in many areas ongoing, large-scale assistance is expected to prevent a deterioration to Emergency (IPC Phase 4). Humanitarian assistance continues to play a major role in helping to protect food consumption for approximately one-third of Yemen's population each month. Due to uncertainty with regard to funding of emergency food assistance beyond November 2018, for the purposes of this scenario FEWS NET assumes no assistance will be provided, and large areas of Yemen will deteriorate to Emergency (IPC Phase 4) between December 2018 and January 2019.

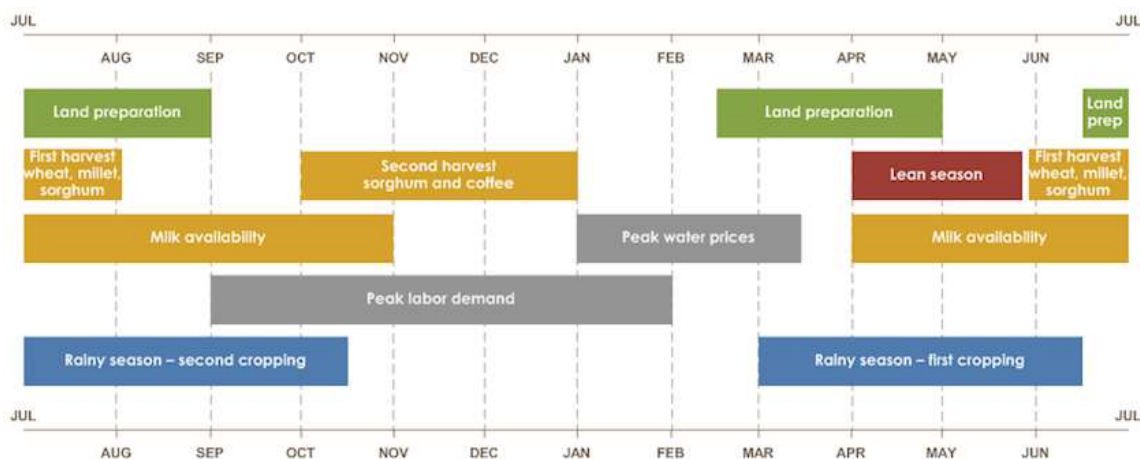
Current food security outcomes, June 2018



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

SEASONAL CALENDAR FOR A TYPICAL YEAR



Source: FEWS NET

NATIONAL OVERVIEW

Current Situation

Conflict

The ongoing military offensive by Saudi and UAE-led forces to retake Al Hudaydah City remains very concerning. On June 13, coalition forces led by Saudi Arabia and the UAE began an offensive with the objective of retaking Al Hudaydah City. The potential for conflict to disrupt maritime imports through nearby Al Hudaydah and Salif ports remains a significant concern. Approximately 70 percent of monthly food imports and 40-50 percent of monthly fuel imports into Yemen typically enter through Al Hudaydah and Salif. Should conflict either result in significant damage or disruption to port facilities and operations, or cut off trade access from the port to markets, Yemen would likely face significant difficulty meeting its basic staple food import needs. According to the weekly Civilian Impact Monitoring Project report for June 28-July 4, the number of conflict events has subsided in recent days. However, on July 9, field reports indicated that some roads, water lines, and telecommunications lines linking areas to the southeast had been cut by Houthi forces. These reports highlight the need for continued monitoring to evaluate potential impacts on key infrastructure, and passage of essential commodities such as food and water.

More than two million Yemenis remain internally displaced due to conflict, with nearly 90 percent displaced for more than one year, according to the most recent IOM-DTM data available from November 2017. Between December 2017 and mid-May 2018, approximately 110,000 additional people were displaced in southern governorates of Yemen, approximately two-thirds of whom fled fighting in Al Hudaydah governorate according to [UNHCR](#). Between June 1 and July 4, more than 121,000 people have been displaced in Al Hudaydah governorate, according to OCHA. Based on the UNHCR Yemen Update for June 1-30, 2018, UNHCR and partners are currently working on an update to displacement figures, particularly given the recent offensive in Al Hudaydah City.

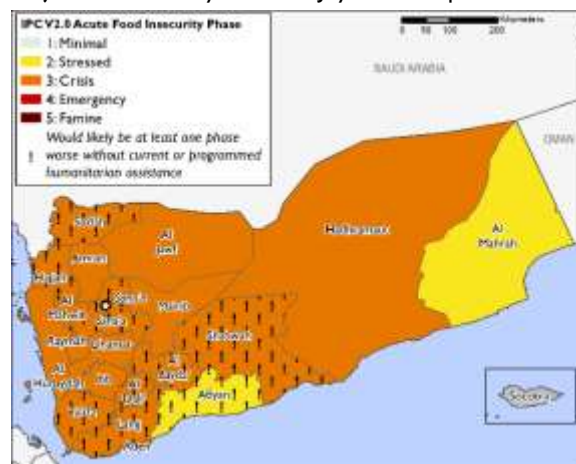
Cyclone Mekunu

Two cyclones struck Yemen in May 2018, with the most severe damage occurring on Socotra Island. On May 19, Cyclone Sagar passed along the southern coast of Yemen and over Socotra Island, which was followed by the passage of Cyclone Mekunu on May 27, which also hit Socotra Island. On May 31, UNICEF [reported](#) that approximately 1,000 households were displaced and that efforts were underway to rehabilitate water infrastructure. Overall, UNICEF cited damage to infrastructure as minor and that food and WASH assistance were priority needs.

Macroeconomic conditions

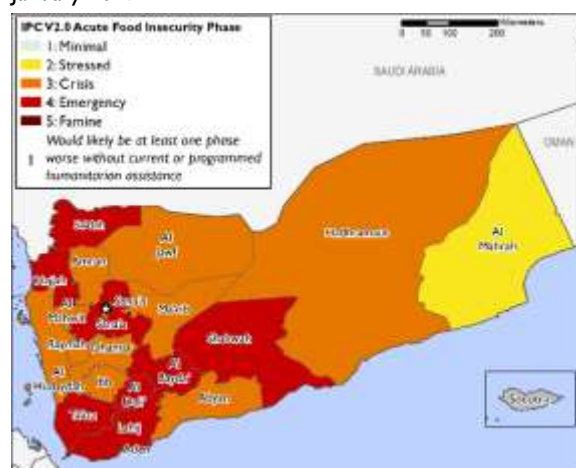
The ongoing macroeconomic crisis in Yemen is having a significant impact on major government services. Given limited government revenues and shrinking foreign reserves, the Central Bank of Yemen is still not paying most government salaries or providing lines of credit and favorable exchange rates for private food and fuel importers. According to WFP, the national monthly average exchange rate in April 2018 reached to 486 YER/USD (a 0.6 percent decrease from March 2018),

Projected food security outcomes, July 2018 to September 2018



Source: FEWS NET

Projected food security outcomes, October 2018 to January 2019



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

representing a loss of approximately 126 percent of its value compared to pre-crisis levels. FEWS NET data collected in Sana'a city suggested the YER exchange rate against the USD remained generally stable between April and May 2018.

Remittances are a major source of income in Yemen, and new taxes in Saudi Arabia could negatively impact some households' ability to earn income through remittances. Starting in July 2017, Saudi Arabia began to levy additional taxes on all foreign workers and their dependents, including Yemenis. These policies require expatriates to approximately 1,200 Saudi Rial (SAR) annually for each dependent or sponsored individual upon renewal of the expatriate residence permit. These extra fees will be increased annually until they reach 4,800 SAR yearly per dependent or sponsored person by 2020. In February 2018, the Ministry of Planning and International Cooperation (MOPIC) reported the amount of the tax imposed was a fixed amount on each worker regardless of the income received. Although it is unclear how uniformly or strictly these policies will be applied, the inability for some workers to pay these taxes could limit their ability to remain in Saudi Arabia and send remittances back to Yemen.

Food imports and staple food availability

Yemen's major seaports remain open following the ongoing military operation in Al Hudaydah, and monthly import levels have remained volatile over the past several months. According to UNVIM reporting, the ports of Al Hudaydah and Salif remain open and operational in mid-July, while the Ras Isa Fuel Terminal remains closed. Overall, ship tracking data suggest the monthly, national number of arrivals of bulk carriers, which typically transport most staple cereals, increased in May and June, compared to the six months prior. The number of bulk carrier arrivals into Yemen in May 2018 reached its highest level since April 2017. The increase in arrivals appears due to increases in ship arrivals at both Aden and Al Hudaydah ports.

According to UNVIM data, average monthly food imports through Al Hudaydah and Salif ports are approximately 22 percent lower in 2018 than in 2017. UNVIM estimates of maritime shipping discharges of food (non-disaggregated by commodity) through the Red Sea ports suggest average monthly imports of food between January and June 2018 were approximately 248,088 MT, compared to a January to December 2017 monthly average of 317,866 MT. Due to the nature of the data available, it is difficult to compare these totals with import requirements for any particular commodity or staple cereal, such as wheat. As of May 2018, WFP estimates that available in-country food stocks are likely sufficient to meet national consumption needs for three to four months.

Although import levels are volatile, average monthly wheat imports are likely 10 to 15 percent below monthly import needs in 2018. Based on data available from the Yemen Gulf of Aden Ports Corporation and Yemen Red Sea Ports Corporation, wheat imports into Yemen through Al Hudaydah, Salif, and Aden ports are estimated at approximately 1.38 million metric tons between January and June 2018. National wheat imports prior to the conflict in 2014 totaled an estimated 3.16 million tons, or approximately 1.58 million metric tons on average over a six-month period. Maritime imports through Al Hudaydah, Salif, and Aden contribute the overwhelming majority of wheat imports into Yemen, although imports through some minor ports and through overland trade also contribute some supply.

Fuel imports

According to WFP, fuel imports into Yemen between January and May 2018 total approximately 1,430,000 MT, or approximately 286,000 MT per month. OCHA reports that monthly fuel import needs are approximately 533,000 MT per month, suggesting fuel imports on average are meeting approximately 54 percent of monthly import needs. May fuel imports were the highest observed in 2018, at approximately 285,000 MT, following imports reaching their lowest monthly levels in April 2018 at 133,000 MT.

Internal trade

Conflict and insecurity have made road access more difficult in Yemen, with the Yemen Logistics Cluster reporting in late May 2018 that major roads were closed or difficult to access in the southwest (Al Hudaydah and Ta'izz governorates), the northwest (Hajjah, Sa'ada, Amran and the western part of Al Jawf governorates) and central areas (Al Bayda, Marib, and Sana'a governorates). Compared to previous reporting in March by the Logistics Cluster, road access has slightly improved between Ta'izz and Al Hudaydah governorates, as well as between Sa'ada and Al-Jawf governorates. FEWS NET rapid assessments in May 2018 suggested road access was disrupted between Al-Turbah and Ta'izz and along the route from Al Hudaydah to Ta'izz via Jarahi and the Al Dubab valley.

Commodity availability on markets

Across most markets in Yemen, staple food commodities remained available on markets in April and May 2018. According to the WFP Market Watch Report for May 2018, wheat flour was “available” (the highest of five rankings) in every governorate in Yemen except in Socotra where it was “sparsely available” (the third highest of five rankings, meaning it was found in at least half of the visits to all markets of the governorate). This represents generally stable availability across nearly all markets, except in Ta’izz where availability improved between April and May, and in Socotra, where availability declined. Compared to February and March 2018, for wheat flour in particular, but also vegetable oil, onion, red beans, and sugar, this represents a significant improvement in the availability of basic food commodities. The availability of cooking gas has also improved since April 2018, when acute shortages were reported in Al Bayda, Hajjah, Raymah, and Sana’a.

Since February 2018, sporadic improvements in fuel availability have been observed. In May 2018, diesel and petrol were rated as “available” in seven of 22 governorates, compared to just four in February. The governorates where improvements in fuel availability were observed were all in southern Yemen and include Abyan, Ad-Dali, and Al Bayda. The availability of diesel and petrol is “widely available” (the second highest of five rankings) in Hadramout, and in the rest is rated as “sparsely available,” according to the WFP Yemen Market Report for May 2018.

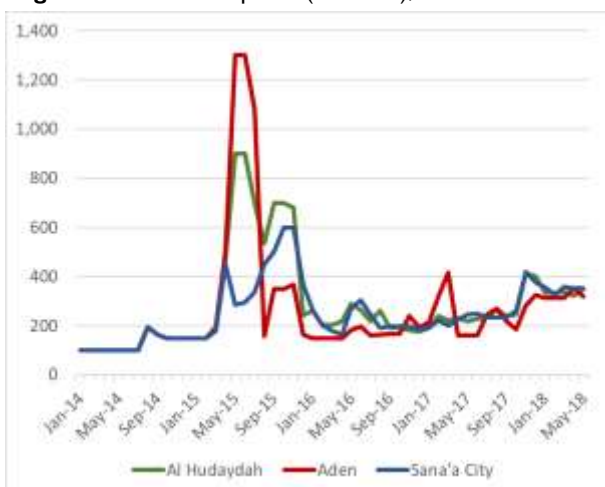
Fuel prices

Prices for diesel and gasoline (petrol) showed slight increases or slight decreases in most markets between April and May 2018 but remained well above their pre-crisis levels (Figure 1). Between April and May 2018, price changes for diesel and gasoline (petrol) on most markets ranged between -10 percent and +10 percent. Notable exceptions included Hajjah market, where diesel and gasoline prices increased by 76 percent and 58 percent, respectively, as well as in Al Mukalla, where diesel prices increased by 37 percent, and gasoline prices increased by 76 percent. Significant price decreases were observed in Marib and Hadibo (Socotra) markets. Overall, fuel prices in May 2018 were 20 to 80 percent higher than in May 2017, and in markets where sufficient price data is available, fuel prices are 150 to 180 percent above their 2014 levels. Since the start of the offensive in Al Hudaydah City, fuel prices have increased slightly in Al Hudaydah, Sana’a City, and Ta’izz compared to levels observed in April and May 2018. Between June 21 and July 5, diesel prices ranged from 370 to 380 YER/kg in all three markets, compared to May 2018 prices of 350 to 364 YER/kg. Increased fuel prices are negatively affecting typical livelihood activities, such as agriculture, and contributing to increased prices of food and non-food commodities through higher transaction costs. High prices and limited availability has also constricted water access as many areas rely on pumping water for human use.

Wheat flour prices

Wheat flour prices remain above average across major markets in Yemen but remained mostly stable between April and May 2018. According to WFP price monitoring, staple food prices have remained mostly stable between April and May 2018, with the most significant price increases occurring in Ibb governorate, where they increased by 25 percent, and in Sana’a and Al Hudaydah, where they increased by 10 percent (Figure 2). In general, wheat flour prices were 20 to 40 percent

Figure 1. Retail diesel prices (YER/liter), select markets



Source: WFP

Figure 2. Retail wheat flour prices (YER/kg), select markets



Source: WFP

higher than their May 2017 levels across most markets monitored. In select cases, such as Al Ma'effar market in Ta'izz and on Hajjah market, prices remain at or slightly lower than their May 2017 levels. Generally, wheat flour prices are 40 to 60 percent higher than their 2014 levels.

Staple food prices have fluctuated slightly in Al Hudaydah market since the ongoing offensive began, but overall prices remain near their May 2018 levels. In April-May 2018, wheat flour prices were 195-215 YER/kg. Based on data collected by FEWS NET, wheat flour prices have fluctuated between 200 and 233 YER/kg between June 21 and July 5. As of July 1, wheat flour prices averaged at approximately 207 YER/kg. In Sana'a City and Ta'izz, wheat flour prices also remain near the levels observed in April and May 2018.

Income sources

Many households in Yemen continue to face difficulty accessing typical levels of income, which continues to be a major constraint on household purchasing power. During rapid assessments conducted in May 2018, respondent households reported that their incomes are down significantly compared to pre-crisis levels, limiting purchasing power and food access through market purchase. Additionally, respondents reported that humanitarian assistance, gifts, and loans have increased as sources of food and income for households. Households also report facing difficulty accessing income from remittances, due to restrictions on the amount of withdrawal and type of currency, as well as a lack of offices for foreign remittances in the rural areas of all surveyed governorates (Abyan, Ad Dali, Aden, Al Bayda, Al Hudaydah, Al Mahwit, Ibb, Lahij, Sa'ada and Ta'izz).

Household incomes from other sources remain well below average, but Social Welfare Fund-like payments are contributing increased income to a large number of poor households. Many government employees continue to not receive regular salaries or pensions due to the Central Banks' lack of adequate financial resources. On the other hand, between March 2017 and May 2018, [UNICEF](#) with World Bank funding distributed two rounds of cash transfers to former Social Welfare Fund (SWF) beneficiaries. Overall, approximately 1.5 million of the most vulnerable households in Yemen (an estimated 9 million people) in 22 Governorates received payments, and a third payment is being planned for August 2018.

Food sources

Rapid assessments in May indicated that market purchases using cash or credit continue to be important food sources for surveyed households, although key informant interviews suggest the total food coming from cash purchases has declined since 2014. Meanwhile, key informants indicate that purchases of food on credit are higher than in 2014. In addition, key informants indicate that humanitarian assistance and assistance from family, friends, and neighbors have emerged as increasingly important food sources over the past year in many governorates. In terms of agricultural productivity, the March to May 2018 rainy season started on time, and rainfall was above average in western Yemen, with significant changes increases in vegetation conditions and isolated above-average amounts of rainfall over Sana'a and Dhamar regions. Although Yemen produces only a minor fraction of staple cereals consumed, key harvest periods for cereals are between July and October in Central Highlands and the Eastern Plateau zones. In general, it is believed that the high cost of fuel and fertilizer are leading to poorer than usual harvest prospects, even as rainfall performs at average or above-average levels.

Humanitarian assistance

Large-scale humanitarian assistance continues to play an important role in reducing higher levels of food insecurity outcomes. Between February and April 2018, WFP reached between 6 and 7 million people per month with emergency food assistance. In addition to WFP, local and international actors continue to operate food distribution or cash transfer programs throughout the country. The Food Security and Agriculture Cluster reported that humanitarian partners provided assistance to a total of 7 million people in April 2018, which represents about 85 percent of the FASC monthly target, and that assistance will be provided in Aden starting in May 2018. On the other hand, FSAC partners faced major challenges in April, such as insecurity, as well as shortages and high prices of fuel. High commodity prices, reduction on commercial imports in Red Sea ports due to offloading restrictions and depreciating value of the Yemeni Riyal, were reported as challenges faced by FSAC, which led to delays in assistance and increased prices of the minimum food basket values.

Humanitarian partners based in Aden provided emergency assistance to cyclone-affected people in Socotra and Al Mahrah. For example, the King Salman Relief Centre (KSA) has delivered 1,881 food baskets, as well as non-food items and medicines. In addition, KSA has supported removing debris and clearing roads on Socotra to enable access to the populations in the

eastern side of the island. In addition, the [Emirates Red Crescent](#) has started distributing food assistance to affected people displaced to schools and public buildings in Hadibo. Moreover, [WFP](#) also provided emergency food supplies.

Cholera, diphtheria and measles outbreaks

The weekly number of suspected cholera cases has remained generally stable in recent months, following a steady decline between mid-2017 and early 2018. During June 18-24, the most recent week for which information is available, approximately 2,551 suspected cases of cholera were identified, according to the Electronic Disease Early Warning System (eDEWS). Governorates with the highest numbers of suspected cholera cases during this time were Amran (495 cases), Sana'a (480 cases), and Amanat Al Asimah (Sana'a City, 260 cases). Overall, the number of suspected cases identified during this time – and in recent months – is substantially lower than when the cholera outbreak peaked in mid-2017 at more than 50,000 suspected cases in a single week.

The weekly number of probable diphtheria cases identified has remained generally stable over the past several weeks, according to the Yemen Ministry of Public Health and Population (MOPHP). Approximately 25 probable cases were confirmed during week 26 (June 25-July 1), according to the MOPHP Daily Diphtheria Outbreak Report for July 3, 2018. These levels are generally in line with those reported over the past month and are significantly lower than those observed since the peak of the outbreak in January 2018, when the number of probable cases identified approached or exceeded 100 cases per week. In terms of cumulative numbers, the governorates worst affected by the diphtheria outbreak include Ibb, Sana'a, and Al Hudaydah governorates. On May 12, the Ministry of Health in cooperation with WHO and UNICEF launched the second round of the diphtheria vaccination campaign, targeting approximately 2.7 million children aged 6 weeks to 15 years in 39 districts throughout Yemen following the campaign's first round in March. The campaign also targets an additional 400,000 children in 23 districts not reached in the first round. In 2018, the highest numbers of measles cases have been reported in Aden, Abyan, and Lahij governorates.

Although the number of measles cases has generally declined since April/May, an uptick in the weekly caseload was observed in early July the number of new cases identified each week remains well above those observed in the first half of 2017. In April/May 2018, the number of measles cases nationwide peaked at 844 in a single week and have generally declined, hitting 2010 cases/week by the end of June. However, in week 25 of 2018, the most recent week for which data is available, the caseload increased to approximate 374 cases. In general, the number of cases identified between Weeks 1-25 in 2018 are much higher than those observed during the same time period in 2017. For example, during weeks 1-25 in 2017, the weekly number of cases peaked at 179. The lowest number of cases observed during the time in 2018 was 2010 in Week 24, and the highest was 844 in Week 16. According to UNICEF, the number of suspected measles cases has ranged between 2,000 and 4,000 cases per year between 2013 and 2017. The number of cases identified so far in 2018 is approximate 12,416, according to MOPHP data.

Current food security and nutrition outcomes

In general, WFP's mobile Vulnerability and Assessment Mapping¹ (mVAM) data suggest food security outcomes have improved, in some cases significantly, in April/May 2018 compared to prior months. For example, between October 2016 and March 2018, the proportion of households in Al Hudaydah governorate with "poor" food consumption according to Food Consumption Score ranged between 11.2 percent and 21.3 percent. However, in April and May 2018, the proportion of households with "poor" food consumption dropped to less than two percent. In Yemen as a whole, the proportion of households with "poor" food consumption ranged between 16 and 25 percent during the same October 2017 to March 2018 period. In April and May 2018, WFP mVAM data indicated between six and eight percent of households had "poor" food consumption. Meanwhile, the mean and median reduced Coping Strategies Index score remained generally unchanged compared to recent months.

Although availability of recent representative data on food security and nutrition outcomes in Yemen is limited, trends in outcomes according to recent SMART surveys has been mixed. SMART surveys were conducted in Abyan governorate in January 2018 and in Hajjah governorate in March 2018. In Abyan, Food Consumption Score suggested significant improvements have occurred since the EFSNA was completed in November 2016, and the prevalence of global acute malnutrition has also declined, all while the number of people receiving humanitarian assistance has remained relatively

¹ Please note that cell phone based surveys are likely biased towards better-off and urban populations who have access to cell phones. These biases should be kept in mind when comparing these survey results with in-person representative household surveys conducted prior to the conflict.

constant. According to Food Consumption Score collected as part of the January 2018 SMART survey in Abyan, approximately 96.9 percent of households in lowland areas, and 93.6 percent of households in highland areas, had “acceptable” food consumption. Meanwhile, the prevalence of global acute malnutrition (GAM) based on weight-for-height Z-scores (and/or the presence of edema) was 10.0% (7.4-13.2%, 95% CI) in lowland areas, and 5.3% (3.1-8.7%, 95% CI) in highland areas. In Hajjah, although Food Consumption Score suggested food consumption has improved, the levels of global acute malnutrition remain at or near levels observed in late 2016. According to the March 2018 SMART survey results, 17.2 percent of households surveyed in lowland areas had “poor” food consumption and 34.8 percent had “borderline” food consumption. In highland areas, approximately 9.6 percent of households surveyed had “poor” food consumption, and 33.4 percent had “borderline” food consumption. Meanwhile, the GAM prevalence in lowland areas was approximately 14.9% (11.8-18.8%, 95% CI) and in highland areas it was 8.9% (6.5-12.1%, 95% CI). In addition, the Hajjah SMART survey excluded some areas from the sampling frame due to insecurity, which could mean that the survey may not have captured outcomes in some of the worst-affected areas.

In areas such as Abyan governorate, SMART survey data suggest food security outcomes have improved, and as a result food security in Abyan is Stressed (IPC Phase 2!), as continued humanitarian assistance prevents a further deterioration of outcomes. Nevertheless, and based on the available information, **FEWS NET believes large populations in Yemen continue to face Crisis (IPC Phase 3) or Emergency (IPC Phase 4) acute food insecurity.** As worst-affected households begin to exhaust their coping capacity, populations may begin to move into Catastrophe (IPC Phase 5) even in the absence of additional disruptions. In a worst-case scenario, significant declines in commercial imports below requirement levels and conflict that cuts populations off from trade and humanitarian assistance for an extended period could drive food security outcomes in line with Famine (IPC Phase 5).

Assumptions

The most likely scenario for the June 2018 to January 2019 period is based on the following national level assumptions:

- **Conflict:** For the purpose of this scenario, FEWS NET assumes that recent increases in conflict will be maintained and will continue to drive increases in displacement through at least January 2019.
- **Economy:** For the most likely scenario, FEWS NET assumes that the current macroeconomic crisis will continue. More specifically:
 - **Central Bank:** The Central Bank’s current split in management will continue. The Central Bank will not receive any additional major funding from external donors and will not provide credit to the private sector for food importation during the scenario period.
 - **Oil Exports:** Oil exports will not return to pre-conflict levels during the scenario period.
 - **Foreign reserves:** Despite Saudi Arabia’s recent deposits in Yemen’s Central Bank, foreign reserves within the country will continue to decline compared to current levels, given the assumptions of significantly reduced oil exports and no additional funding from external donors.
 - **Exchange rate:** Given the decline in foreign reserves, the YER will continue to depreciate against foreign currencies due to the inability of the two central banks to intervene due to operational constraints and the shortage of hard currency.
 - **Liquidity constraints:** Liquidity constraints at banks within Yemen will continue to worsen and will limit general economic activities and complicate import activities.
- **Imports:** Cargo will continue arriving into Al Hudaydah, Salif, Aden, and Al Mukalla ports. Cargo arriving into Al Mokha will remain limited. While large traders will continue to find alternative methods of accessing foreign currency to continue operations, import levels will likely remain volatile and transaction costs associated with these imports will increase. Informal food flows across land borders will also continue at status quo levels, but their transport into the western areas of Yemen will remain difficult due to civil insecurity and difficult market access. FEWS NET is assuming that the average food imported will continue at the same level of the last six months and will meet 85 percent of the monthly requirement, whereas the fuel imported will only meet 55 percent of the monthly requirement.
- **Government salaries and the Social Welfare Fund:** Many government employees will continue not to receive regular salaries or pensions due to the Central Banks’ lack of adequate financial resources. UNICEF/World Bank are planning to

continue distribute a third payment in August 2018 to 1.5 million households who were former beneficiaries of the Social Welfare Fund.

- **Internal trade flows:** Active fighting, damaged transportation infrastructure, high fuel prices, and additional security and transaction costs (e.g. commissions at checkpoints), and additional customs taxation in Sana'a on goods that come through southern sea ports, will continue to complicate trade flows within the country. In the absence of additional information about the evolution of conflict, FEWS NET assumes that areas where trade flows will be particularly constrained will be the same areas where roads are currently closed, as shown by the Logistics Cluster's most recent access constraints map.
- **Market demand:** Demand from consumers will remain atypically low during the scenario period due to weak household purchasing power caused by below-average incomes and high levels of debt. However, purchasing power may improve temporarily at times during the scenario period as households receive erratic salary payments and/or cash transfers.
- **Wheat flour prices:** Given the recent improved import levels, wheat flour prices are largely expected to follow recent trends except in markets where they have been high and volatile since the start of the conflict, such as in Ta'izz. In these markets, prices will likely continue to be volatile moving forward. Moreover, prices are expected to be higher in the Ramadan through Eid el Adha period (June-August) and start declining from September as demand declines after the end of the religious festivities. In general, prices will remain above average and above pre-conflict levels due to increased transaction costs and the continued depreciation of the Yemeni Riyal.
- **Fuel prices:** Given a tightening of supply due to imports well below national requirements, continued conflict, and increased transaction costs for imports and transportation, FEWS NET anticipates that fuel prices will remain high and volatile. Since global crude oil prices are projected to be about 40 percent higher than last year in between now and January 2019, Yemen diesel prices are expected to be similarly higher by at least 30 percent since some of the fuel comes from neighboring countries where prices are low. However, the prices will likely be volatile to localized drivers like conflict intensity, scarcity of forex, etc.
- **Agricultural production:** The seasonality of agricultural production varies depending on the zone in Yemen. Land preparation and planting activities of cereal crops mostly end in June but may continue in the Central and Eastern Wadi zone and the Western Central Highland Coffee, Qat, Sorghum and Livestock zone from July to November. Harvests will take place between July and September in the Central Highlands and Eastern Plateau zones. Meanwhile, in southern upland and coastal areas, harvests occur in October/November. The second rainy season (July to September) is expected to start on time, with slightly above-average rainfall over the western cropping highlands and northwestern regions. However, production will likely be below average due to a lack of availability and/or access to inputs and limited access to fields in conflict zones. Related agricultural labor opportunities will also be atypically low. Qat production, however, will continue to be generally average. Locusts may be present in coastal Red Sea areas and near Aden ([FAO](#)) but will cause minimal damage.
- **Remittances:** Although remittance service offices will remain open in most urban areas, significant difficulties (ex. delays, closed offices, lack of liquidity) will limit the ability of households to receive remittances from abroad. This will result in below-average incomes from this source.
- **Fishing:** Based on seasonality information provided by the World Bank/FAO, fishing activities along Red Sea coastal areas and on the Gulf of Aden coast will continue through September, but will remain well below average due to reduced fishing assets, high fuel prices, and civil insecurity. On the Gulf of Aden coast, peak fishing periods will occur from June to September.
- **Livestock sales:** From June to August, income from livestock sales may increase due to higher demand and prices as the two major Muslim holidays (Eid) occur during this time. Despite these relatively higher prices, reduced livestock assets caused by several years of food insecurity will limit household income from this source. Income from livestock sales will likely be below average between September and January.
- **Incomes from other sources:** The deteriorating macroeconomic situation and conflict will disrupt household livelihoods across much of the country, resulting in below-average household incomes. The largest declines in incomes will be among IDP populations and households residing in intense conflict zones, such as Taiz, Al Hudaydah, Sa'ada, and Al Bayda.
- **Nutrition:** Given expected difficulty in accessing food during the scenario period, acute malnutrition is expected to rise and remain above seasonally normal levels across much of the country. Based on historical data, SAM admissions to treatment

programs are usually at their highest levels between November and January.

- **Cholera and diphtheria:** Ongoing fuel shortages will continue to limit the availability of clean water, as well as the functioning and delivery of vaccines and medical supplies to health centers and hospitals around the country. As a result, the spread of cholera and diphtheria is expected to continue through the scenario period.
- **Humanitarian assistance:** FEWS NET assumes that humanitarian partners will continue providing in-kind assistance until the end of November 2018 and commodity voucher assistance into October 2018. However, given an absence of information on the planned, funded, and likely status of humanitarian assistance from December 2018 to January 2019, no humanitarian assistance is assumed during the last two months of the scenario period.

Most Likely Food Security Outcomes

The ongoing food security emergency in western Yemen is likely to continue to drive very high assistance needs through at least January 2019. The deteriorating macroeconomic situation and the persistence of conflict will continue to disrupt household livelihoods, limiting purchasing power and access to food. While harvests during the scenario period will provide some rural households with small food stocks, these stocks are not expected to have major impacts on food security outcomes given the small-scale nature of agricultural production in Yemen and the fact that these harvests will be below average. Household food access will likely further be constrained by higher than usual food prices. Under the most likely scenario, most areas of western Yemen will be in Crisis (IPC Phase 3) or would be at least one IPC Phase worse in the absence of planned, funded, and likely humanitarian assistance, and will therefore be classified in Crisis (IPC Phase 3!). Given that needs are significantly greater than current assistance programming, it is likely populations in some governorates will face Emergency (IPC Phase 4) outcomes, among whom increased levels of acute malnutrition are likely. Even in the absence of additional disruptions, populations may begin to move into Catastrophe (IPC Phase 5) as worst-affected households begin to exhaust their coping capacity. Meanwhile, in Al Mahrah governorate where on-the-ground fighting and airstrikes have been less intense than in western areas and household livelihoods and food consumption have been less impacted by fighting, outcomes are likely to remain in line with Stressed (IPC Phase 2) acute food insecurity.

IDP populations and poor households in conflict zones will likely continue to face the most severe food security outcomes. With the recent assault to take control of Al Hudaydah City, displacement is likely to continue despite recent increases in humanitarian access to affected areas. Conditions for the displaced will vary based on location, depending on access to labor markets, support from the host community, access to humanitarian aid, and the functioning of local markets. However, in the areas most isolated and cut-off from trade by the conflict, many of the displaced are likely to enter or to remain in Crisis (IPC Phase 3) or Emergency (IPC Phase 4) through at least January 2019.

In a worst-case scenario, significant declines in commercial imports far below requirement levels and conflict that cuts populations off from trade would likely drive food security outcomes in line with Famine (IPC Phase 5). The rate with which the size of the population in Crisis (IPC Phase 3) or worse increases in 2018 and 2019 would also intensify. The prospect of increased conflict that could damage port facilities at Al Hudaydah and Salif ports is particularly concerning, given the recent attack in Al Hudaydah City. Al Hudaydah port is the entry point of about 70 percent of all food imports into Yemen. Given that imports by humanitarian actors currently make up less than one quarter of total formal cereal imports into Yemen, it is very unlikely that the humanitarian community or overland imports from neighboring countries would have the capacity to fill the very large import gaps that would exist in this scenario. This would drive major shortages on local markets and likely result in steep price increases, limiting household food access. Furthermore, increased conflict could drive additional displacement and cut populations off from trade, further limiting income-earning opportunities, driving even more severe price increases in local areas, and resulting in a rapid deterioration of food security outcomes.

AREAS OF CONCERN

Al Hudaydah Governorate (Figure 3)

Current Situation

Conflict and displacement

On June 13, 2018, the Saudi and UAE-led Coalition began an offensive to take over Al Hudaydah City, with heavy airstrikes and ground conflict reported along coastal areas and in southern areas of Al Hudaydah City. According to the weekly Civilian Impact Monitoring Project report for June 28-July 4, the number of conflict events has subsided in recent days. However, on July 9, field reports indicated that some roads, water lines, and telecommunications lines linking areas to the southeast had been cut by Houthi forces. These reports highlight the need for continued monitoring to evaluate potential impacts on key infrastructure, and passage of essential commodities such as food and water.

Conflict over the past several months, including the recent attack in Al Hudaydah City, have driven significant increases in displacement. Between June 1 and July 4, more than 121,000 people have been displaced in Al Hudaydah governorate, according to OCHA. Partner reports new IDPs fled largely to areas east and north of Al Hudaydah City, while some have fled to the capital, Sana'a. According to UNHCR, between November 2017 and the end of April 2018, approximately 69,000 people have been displaced from Al Hudaydah to southern governorates, mainly Abyan, Lahij and Shabwah. Additional reports suggest some people have been using boats to flee fighting in Hudaydah and Ta'izz into Lahij, Abyan, and Hadramout, to avoid checkpoints and save overland transportation costs. This is in addition to the approximately 104,000 people who were already estimated to be displaced in Al Hudaydah governorate as of September 2017, based on information from the IOM Displacement Tracking Matrix. Due to insecurity and damage to household assets, conflict has also disrupted agricultural and fishing activities.

Trade, markets, and prices

Continued imports through Al Hudaydah and Salif ports allow staple food commodities to continue reaching local markets in Al Hudaydah governorate. According to UNVIM, Al Hudaydah and Salif ports remain open as of July 11, with vessels currently at various stages of clearance, berthing, and discharge. Import levels described in the National Overview section of this report, alongside continued road access from the port to markets within Al Hudaydah, continue to allow for staple food commodities to reach local markets.

WFP reports that the availability of basic food commodities, including wheat flour, has improved between February and May 2018. According to the most recent WFP Market Watch Report for May 2018, wheat flour was "available" (the highest of five rankings), compared to "sparsely available" (the third highest of five rankings) three months ago. The same trend has been observed for vegetable oil, red beans, and sugar. According to rapid assessments conducted in May, traders in Al Hudaydah indicated that staple food stocks at markets were below pre-crisis levels due to low purchasing power, higher food prices, and shrinking incomes and delays on delivery of food market associated with checkpoints by security forces along main trade routes. Moreover, traders remain concerned about the potential for Al Hudaydah and Salif ports to close due to conflict-related damage or restrictions on operations, leading them to store large quantities of commodities, including grains.

Wheat flour prices remain higher than in most months in recent years, although initial reports suggest that following the recent offensive in Al Hudaydah City, prices have remained near their May 2018 levels (Figure 4). Based on WFP price reporting, May 2018 retail wheat flour prices in Al Hudaydah City were 215 YER/kg, or approximately 48 percent higher than

Figure 3. Reference Map for Al Hudaydah Governorate

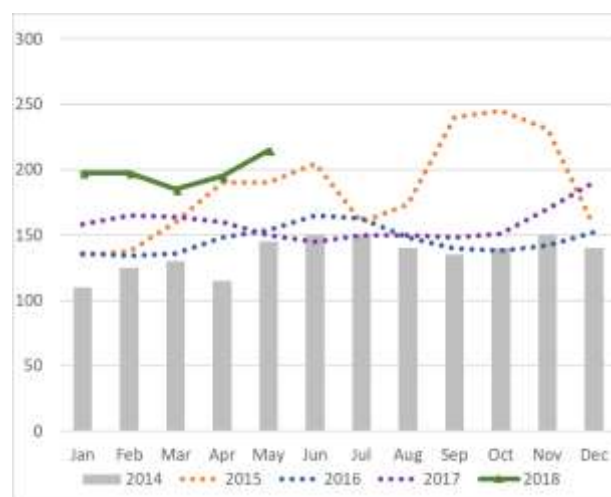


Source: FEWS NET

in May 2014, and approximately 30 percent higher than in May 2017. Based on data collected by FEWS NET, wheat flour prices have fluctuated between 200 and 233 YER/kg between June 21 and July 5. As of July 5, wheat flour prices averaged at approximately 207 YER/kg.

Diesel, gasoline, and cooking fuel remained “sparsely available” in Al Hudaydah and prices are well above pre-crisis levels as of May 2018. According to the May 2018 Yemen Market Watch Report, the availability of diesel, gasoline, and cooking fuel were all reported to be “sparsely available,” consistent with reporting over the prior four months. The prices of gasoline and diesel increased by three to nine percent between April and May 2018 and were 50 to 60 percent higher than in May 2017. These price levels are 160 to 180 percent above their 2014 levels. Increasing diesel prices are likely resulting in greater costs for farmers using diesel pumps and for fishermen using diesel engines for their boats, which could have a negative impact on these activities. Increased fuel prices are also resulting in higher milling and transportation costs contributing to increased prices of food.

Figure 4. Retail wheat flour prices (YER/kg), Al Hudaydah market



Source: WFP

Household livelihoods and incomes

First season rainfall was above average in Al Hudaydah, but the impacts of conflict are likely hindering agricultural and livestock productivity. Generally, cereal and crop production in Al Hudaydah is the highest compared to other governorates in Yemen. Grains, fruits, and vegetables are the primary cash crops in Al Hudaydah and agriculture in the two rural livelihood zones in the governorate (YE-11 and YE-14) is both rainfed and wadi-irrigated. During the first rainy season between April and June 2018, rainfall was near to above average throughout much of the season. However, to the extent agricultural productivity is dependent on fuel-powered cultivation tools, water pumping, and fertilizer, production prospects are likely to be below average. Livestock raising is also an important livelihood activity in a typical year, providing milk and meat for consumption, and livestock sales for income. A January 2018 FAO rapid assessment report on the livestock sector in Al-Jarahi, Jabal Ras, and Hays districts in Al Hudaydah governorate indicated that the livestock watering and feeding systems are disrupted due to limited movement of the livestock to the normal natural grazing areas, which resulted in low production of the livestock in these districts. During rapid assessments conducted in April 2018 in Al Hudaydah governorate, respondents reported earning less income than prior to the start of the conflict in 2015. Respondents indicated that the main sources of income currently are services and trade, loans, and informal/small-scale trade.

UNICEF is continuing to provide significant cash transfers to poor households through World Bank-funded Social Welfare Fund-like payments. In May 2018, UNICEF conducted the second round of cash transfers to approximately 144,000 households, or approximately 800,000 people, in Al Hudaydah Governorate. At these levels, approximately 25 to 30 percent of the population of Al Hudaydah governorate would be receiving cash transfers, likely significantly improving purchasing power among a large portion of the governorate population. The third payment is planned to be implemented in August 2018.

Humanitarian assistance

Large-scale assistance continues to reach more than 20 percent of the population of Al Hudaydah governorate, although significant access constraints remain. According to the FSAC, approximately 695,028 people in Al Hudaydah received emergency food assistance in April 2018, out of a target population of 899,030 people. Between January and April 2018, WFP reached approximately 713,000 beneficiaries per month between January and April 2018. Partner reports indicate that humanitarian access in Al Hudaydah remains very difficult, with high access constraints reported in eight districts. Operating constraints are related to restrictions on movement, violence against humanitarian personnel, assets and facilities, and interference in the implementation of humanitarian activities, as well as administrative constraints.

Disease outbreaks

Cases of cholera and diphtheria continue to be reported in Al Hudaydah governorate. According to WHO data, 1,489 suspected cholera cases were reported in Al Hudaydah governorate in June 2018, similar to the 1,752 cases reported in May 2018. Al Hudaydah has the highest number of suspected cholera cases at 14,527 (16 percent of reported cases during that time) in 2018. Together, these bring the total number of suspected cholera cases in Al Hudaydah governorate since late April 2017 to 163,837. Since mid-2017, there have also been approximately 209 suspected cases of diphtheria, 149 of them since January 2018. Moreover, 235 suspected measles cases have been reported in Al Hudaydah since January 2018.

Food security and nutrition indicator data

In Al Hudaydah governorate, WFP mVAM² data indicate that the proportion of households with “poor” food consumption has significantly declined in April and May, while the proportion of households with “acceptable” food consumption has increased significantly. Between October 2017 and March 2018, the proportion of households surveyed in Al Hudaydah with “poor” food consumption, according to Food Consumption Score, ranged between 11 and 21 percent. However, more recent mVAM data suggest that proportion declined to less than two percent in April and May 2018. In addition, the proportion of households with “acceptable” food consumption ranged between 60 and 75 percent between October 2017 and March 2018, before increasing to nearly 90 percent in April and May. Meanwhile, the mean and median reduced Coping Strategies Index score remained generally unchanged compared to recent months.

Current food security outcomes

Based on available information on food security outcomes and contributing factor information on household food availability and access, FEWS NET estimates that poor households in most areas of Al Hudaydah are likely facing elevated levels of food insecurity, including food consumption gaps, in line with Crisis (IPC Phase 3) food insecurity. Given variations in conflict-levels and humanitarian access, it is likely that geographic variations in food security outcomes exist throughout the governorate. More specifically, IDPs throughout the governorate and households in conflict zones in southern and western districts are facing the most severe food security outcomes.

Assumptions

The most likely scenario for the June 2018 to January 2019 period is based on the following zone-level assumptions:

- **Conflict:** Continued airstrikes and ground conflict are most likely to increase civil insecurity and access to markets in the southern and western coastal areas, including Al Hudaydah City, and will limit access to livelihood activities.
- **IDP populations:** IDP populations are most likely to increase due to the current fighting in the southern and western coastal areas and Al Hudaydah City.
- **Agricultural production/labor:** Harvesting of cereals will take place between June and July in YE-11 and YE-14, and vegetables will be harvested between October and January in YE-11. Agricultural labor income will increase in these livelihood zones during this period but will likely be below normal levels.
- **Livestock and livestock products:** Among rural populations, sales of livestock are likely to continue throughout the outlook period, although terms of trade will be below normal. Livestock prices will increase in June and August as two major Muslim holidays occur during this time. Milk production will be near normal and increase between July and October in most areas in YE-11 and YE-14.
- **Fishing:** Fishing activities in coastal areas of Al Hudaydah will remain limited due to the ongoing security situation.
- **Staple food prices:** Staple food prices will likely continue to be higher than normal on the markets in Al Hudaydah and more volatile than in other key markets of supply, due to insecurity and high transportation costs.

Most Likely Food Security Outcomes

No significant improvements to food security conditions are expected in Al Hudaydah as conflict continues. IDP populations and those residing in southern and western conflict-affected areas are likely to continue to face more severe outcomes. Even in the absence of additional disruptions, some affected populations are expected to face greater difficulty meeting their basic food needs as they begin to exhaust their coping capacity. The number of households facing Crisis (IPC Phase 3) or worse

² Please note that cell phone based surveys are likely biased towards better-off and urban populations who have access to cell phones. These biases should be kept in mind when comparing these survey results with in-person representative household surveys conducted prior to the conflict.

outcomes is likely to increase, particularly among those IDPs who are unable to access their typical sources of food and income and who do not receive assistance. Between June 2018 and January 2019, Al Hudaydah will be in Crisis (IPC Phase 3), even as some populations in the governorate face Emergency (IPC Phase 4) or worse outcomes.

Ta'izz Governorate (Figure 5)

Current Situation

Conflict and displacement

Fighting continues in Ta'izz governorate, including in eastern Ta'izz City and Maqbanah and Al Ma'effer districts, as reported by OCHA. A multi-cluster rapid assessment in Mawza District of Ta'izz Governorate showed about 655 IDP families displaced within the district since May 2017, most of whom were women and children (less than 12 years old) living in shelters made from straw without any basic water sanitation and hygiene services. Moreover, IOM indicated that as of June 26, approximately 1,872 people were displaced from Al Hudaydah to Ta'izz. Additionally, according to the Protection Cluster, since the beginning of June 2018 approximately 18,000 IDP households have fled the conflict frontline along the western coast to the southern governorates, approximately 40 percent of whom were from Ta'izz governorate.

Trade, markets, and prices

Reports suggest Ta'izz is among the governorates for which transport access is worst in Yemen. Findings from rapid assessments and the Yemen Logistics Cluster from May 2018

indicate that market corridors leading to Ta'izz City were all experiencing some or significant disruptions, including the Al Hudaydah – Ta'izz route through Al-Mokha, which is closed. All routes from Ta'izz to Al Baradah, Ash Shamsarah, Al Muqdar, Al Misrakh, as well as Ta'izz City to Al Asluf, Ar Rawnah, and Al Qa'idah are difficult to access. The Logistics Cluster mapping does suggest road access between Ta'izz City and Sana'a City (via Ibb) is also difficult, which affects trade into the governorate. In February 2018, the Yemen Comprehensive Humanitarian Operations Aid Update (YCHO), suggested that Government of Saudi Arabia will fund two new cranes to be installed in Mokha Port. However, as of June 2018, Al Mokha port still serves as a military hub for Coalition and pro-ROYG forces and limited humanitarian assistance shipments.

Figure 5. Reference Map for Ta'izz Governorate



Source: FEWS NET

The availability of basic food commodities improved in Ta'izz governorate in May 2018 compared to recent months.

According to the WFP Yemen Market Watch for May 2018, the availability of wheat flour, vegetable oil, and sugar improved from "sparsely available" in April to "available" in May. Likewise, the availability of red beans improved from "widely available" to "available." However, cooking gas, diesel, and petrol remained only "sparsely available," as they have been in recent months.

In May 2018, wheat flour prices were stable compared to recent months, but remain well above pre-crisis levels. According to WFP price data, retail wheat flour prices in Al Ma'effer market in Ta'izz were 250 YER/kg, which is more than 80 percent higher than pre-conflict levels and near those observed in recent months. Based on preliminary price data collected by FEWS NET, retail wheat flour prices fluctuated between 223 and 250 YER/kg between June 22 and July 5, reflecting slight decreases before returning to May 2018 levels by early July.

Fuel prices increased slightly in May 2018 and remain significantly higher than pre-crisis levels. Compared to April 2018, gasoline prices increased by approximately five percent in May 2018 to 363 YER/liter, and diesel prices increased by nearly 10 percent to 363 YER/liter in May 2018. Prices for both commodities are approximately 120 to 140 percent higher than their pre-crisis levels. According to preliminary price data collected by FEWS NET between June 22 and July 5, gasoline prices have increased by approximately three percent to 374 YER/liter, and diesel prices have increased approximately three percent to 377 YER/liter.

Household livelihoods and incomes

Field reports suggest incomes from crop production are below average due to the persistently high cost of agricultural inputs (including fuel for irrigation pumps). Cereals, qat, and vegetables remain the major cash crops in Ta'izz, as was the case prior to the current conflict. Agriculture is both rainfed and wadi-irrigated dependent. Seasonal rainfall typically occurs between March and September with peaks in May and August. Between March and June, seasonal rainfall was above average. Households would typically be dependent on agricultural activities and livestock for income, and sorghum and millet will be harvested in July and September. However, field reports suggest that conflict continues to severely constrain agricultural activities in the governorate. According to rapid assessments conducted in May, cash purchases from the market continue to be one of the major food sources in Ta'izz, followed by humanitarian assistance, and credit purchases from markets.

Humanitarian assistance

On average, WFP reached approximately 690,000 beneficiaries per month between February and April 2018, reaching approximately 22 percent of the total population of the governorate. Field reports suggest that ongoing insecurity and other impediments leading to the cancelation of voucher distributions in March and April 2018 in Al Qahira and Al Mudhaffar Districts. Districts where assistance was planned to be delivered but were not covered between February and April 2018 include Mokha, Dhubab, and Mawza districts. Insecurity along major transit routes to and from Ta'izz continues to pose a threat to humanitarian operations in the governorate. OCHA and partners report high access constraints in seventeen districts, indicating that access constraints are mainly due to obtaining administrative approval for humanitarian activities and movements. Additional obstacles include ongoing conflict, vehicle inspections at checkpoints, unofficial fees, and violence against humanitarian personnel and facilities.

Disease outbreaks

Cases of cholera and diphtheria continue to be reported in Ta'izz governorate. According to WHO data, 472 suspected cholera cases were reported in Ta'izz governorate in June 2018, similar to the 475 cases reported in May 2018. Together, these bring the total number of suspected cholera cases in Ta'izz governorate since late April 2017 to 67,109. Since mid-2017, there have been approximately 76 suspected cases of diphtheria.

Food security and nutrition indicator data

As with several governorates in Yemen, WFP mVAM³ data indicate that the proportion of households with “poor” food consumption has significantly declined in April and May, while the proportion of households with “acceptable” food consumption has increased significantly. Between October 2017 and March 2018, the proportion of households surveyed in Ta'izz with “poor” food consumption, according to Food Consumption Score, was near 30 percent in most months. However, more recent mVAM data suggest that proportion declined to slightly under 11 percent in April, and under seven percent in May 2018. Meanwhile, the proportion of households with “acceptable” food consumption ranged between 30 and 45 percent between October 2017 and March 2018, before increasing to 59 percent in April, and nearly 71 percent in May. Meanwhile, the mean and median reduced Coping Strategies Index score remained generally unchanged compared to recent months.

Current food security outcomes

Based on available information on food security outcomes and contributing factor information, FEWS NET estimates that poor households in most areas of Ta'izz are likely facing elevated levels of food insecurity, including food consumption gaps, in line with Crisis (IPC Phase 3!) food insecurity. Given the magnitude of humanitarian assistance present in the zone, FEWS NET expects that food security outcomes would likely be at least one phase worse in the absence of ongoing humanitarian assistance.

Given variations in conflict-levels and humanitarian access, it is likely that geographic variations in food security outcomes exist throughout the governorate. More specifically, IDPs throughout the governorate, poor households in inaccessible parts of Ta'izz governorate, and poor households in lowland areas are worst-affected, where malnutrition levels have historically been high and increased in 2017 compared to pre-conflict levels.

³ Please note that cell phone based surveys are likely biased towards better-off and urban populations who have access to cell phones. These biases should be kept in mind when comparing these survey results with in-person representative household surveys conducted prior to the conflict.

Assumptions

The most likely scenario for the June 2018 to January 2019 period is based on the following zone-level assumptions:

- **Conflict:** Conflict is likely to continue at current levels and will continue to limit access to livelihood activities including agro-pastoral work, formal employment, and fishing.
- **IDP populations:** Further displacement at current rates is likely as military operations continue.
- **Agricultural production/labor:** Crop production is expected to be below average due to the lack of availability and/or access to inputs and limited access to fields in conflict zones. Harvests of qat will continue year-round but there will be a relative increase in agricultural labor income between June and September due to cereal harvests.
- **Livestock and livestock products:** Among rural populations, sales of livestock are likely to continue throughout the outlook period, although terms of trade will be below normal. Livestock sales will increase in August during the major Muslim holidays (Eid Al Adha). Milk production will be highest between July to October in YE-14 and June and September to November in YE-10 livelihood zones.
- **Fishing:** Fishing activities in coastal areas of Ta'izz will remain limited due to the ongoing security situation.
- **Staple food prices:** Staple food prices will continue to be higher than normal and more volatile than in key markets of supply, due to insecurity and high transportation costs.

Most Likely Food Security Outcomes

Between June and November 2018, Ta'izz governorate is likely to remain in Crisis (IPC Phase 3!) as the presence of ongoing humanitarian assistance prevents a deterioration in food security outcomes. In the absence of humanitarian assistance between December 2018 and January 2019, FEWS NET expects that food security outcomes would deteriorate in Ta'izz to Emergency (IPC Phase 4). IDP populations and populations in lowland areas will continue to face some of the more severe outcomes.

EVENTS THAT MIGHT CHANGE THE OUTLOOK

Table I. Possible events over the next eight months that could change the most-likely scenario.

Area	Event	Impact on food security outcomes
National	The Yemen Central Bank receives external assistance to replenish its depleted reserves or it gains access to its foreign reserves currently frozen in overseas accounts.	The Yemeni Rial to US dollar exchange rate would become more stable and the Central Bank would start supporting again wheat flour importers through lines of credit. Import levels, local food availability, and food prices would begin to stabilize. In addition, government salaries, pensions and social welfare would be paid, increasing household purchasing power and improving food security outcomes.
National	Food imports stop due to closure of main ports, destruction of key port infrastructure, or major macroeconomic changes that prevent traders from funding imports.	Food availability on local markets would quickly decline and food security outcomes would likely deteriorate with areas likely to deteriorate to Famine (IPC Phase 5) in a worst-case scenario.
National	Increased humanitarian assistance	Additional humanitarian assistance could further protect food consumption and reduce malnutrition.
National	Functioning of remittance services returns to normal	Improved access to remittances will help to increase household incomes and household purchasing power resulting in improved food security outcomes.

ABOUT SCENARIO DEVELOPMENT

To project food security outcomes, FEWS NET develops a set of assumptions about likely events, their effects, and the probable responses of various actors. FEWS NET analyzes these assumptions in the context of current conditions and local livelihoods to arrive at a most likely scenario for the coming eight months. [Learn more here.](#)